

and where the trustees have a discretionary *power* to convert or not, or at such time as they may think fit, the Court cannot interfere with the exercise of the power (*c*). But besides express trusts of this kind, there is frequently imposed upon trustees a duty to convert, not directed in terms, but arising out of the nature of the property and the relation in which *cestuis que trust* stand to each other.¹

2. **Implied conversion in cases of bequests of wasting property to persons in succession.** —As a general rule, if a testator give his personal estate (*d*), or the residue of his personal estate (*e*), or the interest of his property (*f*), in trust for or directly to (*g*) several persons in succession, and the subject of the bequest is of a wasting nature, as leaseholds, long annuities, &c., the Court implies the intention that such perishable estate should assume a permanent character, and so become capable of succession. The Court accordingly, in these cases, directs a conversion into 3 per cent. Bank Annuities, and trustees and executors are bound to observe the same rule in their administration of property out of Court, and if they fail to do so, will be liable as for a breach of trust (*h*).

(*c*) *In re Sewell's Trusts*, 11 L. R. Eq. 80. See *ante*, p. 288.

(*d*) *Howe v. Earl of Dartmouth*, 7 Ves. 137.

(*e*) *Cranch v. Cranch*, cited *Howe v. Earl of Dartmouth*, 7 Ves. 141, note; *Powell v. Cleaver*, cited *Ib.* 142; *Lichfield v. Baker*, 2 Beav. 481; *Crawley v. Crawley*, 7 Sim. 427; *Suther-*

land v. Cooke, 1 Coll. 498; *Johnson v. Johnson*, 2 Coll. 441; *Re Shaw's Trust*, 12 L. R. Eq. 124.

(*f*) *Fearns v. Young*, 9 Ves. 549; *Benn v. Dixon*, 10 Sim. 636. See *Oakes v. Strachey*, 13 Sim. 414.

(*g*) *House v. Way*, 12 Jur. 959.

(*h*) *Bate v. Hooper*, 5 De G. M. & G. 338. [As to the power of trustees

¹ *Conversion.* —There may be trusts for conversion, as where the trust property is to be sold and the proceeds invested or used in the purchase of other property, or the trusts may be intended to give the *cestui que trust* the enjoyment of certain specified property. Whether a trust belongs to the one class or the other depends upon the construction or interpretation put upon the declaration of trust, and the facts and circumstances of the particular case; *Hidden v. Hidden*, 103 Mass. 59.

Ordinarily, where the trust property is of such a nature that it will gradually and constantly diminish in value, it becomes the duty of the trustee to convert it into such securities as the law will allow him to accept; this is more emphatically true of property of a perishable nature.

If there is a gift of specific property, there may be an implied intention to have that particular property remain in trust; *Harrison v. Foster*, 9 Ala. 955; *Dunbar v. Woodcock*, 10 Leigh, 628.